

management fees. Yet in the fiscal year ended June 30, 2012, the pension fund's return was 18.6%, which was below the average return of 21.4% among large public pension funds according to Wilshire Trust Universe Comparison Service. South Carolina's five-year performance of 4.0% also lagged other large funds, which averaged 5.1%, despite South Carolina's large exposure to sexy PE investments.

Loftis and Borden butted heads. In the summer of 2011, Loftis made a simple request to see Borden's appointment calendar; by showing how busy Borden was, Loftis hoped to bolster his case in the legislature for hiring more investment staff. But Borden, a man in charge of a \$25 billion fund, had a calendar that was largely empty! (Borden claimed he did not need his calendar and planned all his meetings in his head.) Borden threatened to leave to manage Virginia's retirement funds, and the South Carolina Investment Commission voted to give him a \$242,000 bonus. Loftis challenged the payment, which was later cut by \$65,000. Borden resigned in December 2011 to join New England Pension Consultants, a Cambridge, Massachusetts-based investment firm that did extensive business with the South Carolina pension fund.²

Borden is gone, but his legacy remains.

A report by Deloitte & Touche identified several shortcomings in the fund's operations with respect to alternative assets. The fund did not have a standard process for analyzing or monitoring managers, or reviewing fees.

Loftis was fed up with years of high fees and complex terms, which are incomprehensible to the average taxpayer. "I question whether Wall Street's interests are being protected or our interests are being protected," he says. In an examination of the fees charged by one outside fund manager, he found fees were too high by \$18.1 million—an amount the fund manager called "a reporting error."

Loftis did not want South Carolina to completely disinvest from complicated PE deals. But he "thinks the pension fund needs to be more mindful of its dependence on complicated deals being sold by Wall Street." Loftis has plenty of tales of what Wall Street financiers do to lure South Carolina's funds, with stories of fund manager meetings at trendy nightclubs and fund managers arranging for him to sit next to centerfold models at dinners. "This is a world where people have private jets, massive apartments overlooking Central Park, people who live exotic lives," said Loftis.

2. Industry Characteristics

2.1. WHAT IS PRIVATE EQUITY?

PE is very old. The *commenda* was a contract that arose in the tenth century to finance merchant shipping: *passive* owners put up some or all the capital, and there

² fitsnews.com, "The Real Pension 'Pay-to-Play,'" Feb. 3, 2012.